10 Marie invests £8000 in an account for one year.
At the end of the year, interest is added to her account.

Marie pays tax on this interest at a rate of 20%
She pays £28.80 tax.

Work out the percentage interest rate for the account.

£28.80 tax = 20% of the interest.

1 mark
Tax is one fifth of interest.

Interest = £28.80 ÷ 0.20 = £144.

1 mark
Recover £144 interest.

Rate = (£144 ÷ £8000) × 100% = 1.8%.

1 mark
1.8% annual rate.

1.8 %

(Total for Question 10 is 3 marks)